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at Bain



BrAINWARS 2026

CASE PROBLEM





BrAINWARS (Case Problem - Part 1)

You are a consultant at a leading strategy firm, specializing in go-to-market strategy and AI-led growth for consumer technology brands. Due to your expertise in global expansion and AI-led growth, a senior partner at the firm has reached out to you to **lead Project PULSE**

PulseX Technologies is a high-growth fitness wearables company offering a multi-sport watch, a recovery-focused smart ring, and a high-accuracy chest band. While its hardware competes in a crowded market, its key differentiator is **PulseAI™** - a proprietary intelligence engine that analyzes biometric data to predict recovery readiness, detect overtraining, personalize workouts, and forecast injury risk.

PulseX generates revenue through both device sales and high-margin AI subscriptions, positioning itself as a performance ecosystem rather than just a hardware brand.

Currently focused on North America, the company must decide its next growth move: **Enter a high-growth international market, deepen domestic ecosystem lock-in, or expand AI into enterprise applications.**

The leadership team seeks a financially viable and strategically defensible path that balances hardware economics, AI scalability, and long-term competitive advantage.

PulseX Case Study: Mail from Client (1/2)

Dear Team,

Hope you're doing well. We've been approached by PulseX Technologies, a fast-growing fitness wearables company focused on high-performance tracking devices. Their current product portfolio comprises of PulseX Watch (Multi-sport GPS fitness watch), PulseX Ring (Sleep & recovery-focused smart ring) and PulseX Band (Chest-based high-accuracy heart-rate monitor)

PulseX launched four years ago in North America, initially targeting performance athletes, biohackers, fitness enthusiasts, and quantified-self consumers. Today, its revenue mix is driven primarily by hardware sales (65%), followed by subscription-based AI analytics (25%) and enterprise partnerships with gyms and trainers (10%).

Cost to make the watch is the highest at ~\$140 per watch, while the Avg. selling price in North America is ~\$254; The ring has the highest gross margin for physical products at 55% while priced at \$200 in North America

PulseX's key differentiator is PulseAI™, an adaptive intelligence engine that predicts recovery readiness, detects overtraining risk, personalizes workout programs, forecasts injury probability, optimizes sleep cycles, and dynamically adjusts recommendations based on real-time biometric data. The company currently has 600,000 active devices in the market, a 40% subscription attach rate, and an annual subscription churn rate of 18% and the AI subscription delivering highest margins amongst all the products at ~75%

Chest band is cost effective health tech to attract GenZ sports personals, 50% of the units were sold at \$135 while the rest 50% were sold at reduced price of \$115 to keep the pricing competitive, with the cost price remaining constant for both at \$75

The executive team needs our expertise to answer the following questions:

1. Which growth path should PulseX prioritize and why? If you recommend international entry, specify one region to enter first (Europe, India, Southeast Asia, Middle East, or Latin America), considering market regulations & competitive landscape
2. What GTM model should PulseX use (D2C only / Retail partnerships / Telecom bundling / Gym partnerships / Hybrid) and why?
3. How should PulseAI™ be positioned (Performance differentiator / Preventive health tool / Enterprise analytics engine / Insurance risk-scoring platform) and why?

We will follow up with detailed financials, consumer trends, and other KPIs in next email from my colleague

Best regards,
Bob

PulseAI Case Study: Mail from Client (2/2)

Thanks Bob!

Hi Team,

As discussed, below are the key financial, market, and strategic inputs to guide PulseX's growth evaluation.

The global wearables market continues to expand at approximately 12% CAGR, while AI-driven health analytics is growing materially faster at roughly 26%, indicating structural momentum toward predictive performance platforms. Regionally, India currently leads wearables CAGR growth at about 22%, Europe is 5% below Southeast Asia. The Middle East trail below India by 7% and Latin America trail below Middle East by 2% . Digital health readiness is strongest in Europe (0.75) and India (0.72), with Southeast Asia at 0.68, the Middle East at 0.61, and Latin America at 0.55.

Pricing power varies meaningfully. North America currently commands a 20% ASP premium over the global average. Europe approaches this at approximately +18%, and the Middle East sits near +15%, while India reflects a modest ~5% discount, Southeast Asia approximately ~2% below average, and Latin America closer to an ~8% discount.

If entered, Year 1 demand projections suggest India could support roughly 500,000 devices, Southeast Asia around 420,000. While for Southeast Asia we have marketing spends from three companies to be \$3M (Company A), \$5M (Company B), \$2M (Company C), while the customer gain was about 54,545; 90,909; and 36,364 respectively.

Similarly, Year 1 projected demands for Europe are approximately 350,000. The Middle East is estimated near 250,000 units, with Latin America is 30,000 units lesser to Middle East

Annual AI cloud servicing costs are approximately \$28 per subscriber. Each new region would require close to \$3 million in localization, regulatory compliance, and data infrastructure investment.

Customer acquisition costs differ significantly across markets. North America currently stands at roughly \$95 per user. Total marketing spend by a like to like competitor in Europe was \$5M while estimating a customer gain of 62K. India significantly lower at approximately \$40, the Middle East close to \$85, and Latin America approximately \$10 more vs. India.

Study conclude Southeast Asia's wearable's market CAGR at ~19%

For the final recommendation, we require a clear selection of growth path — including regional prioritization if international expansion is advised — grounded in financial feasibility, strategic differentiation, and regulatory viability. Please propose a concrete go-to-market model, articulate a sharp PulseAI positioning versus incumbents, provide transparent revenue and margin assumptions, and outline how the integration of Watch, Ring, Chest Band, and PulseAI creates a defensible data moat at scale.

Best,
Anna